Strategy Paper

Financial Planning Strategy

Prepared for:
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Of
190 Childs Rd Mill Park, 3082

Prepared:
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What this document is about

This Strategy Paper is an important document. It provides you with information about our advice so you can make an informed decision. It should be read in conjunction with our Financial Services Guide.

What to do after reading this document

Please contact us if you have any questions, if we have omitted or incorrectly understood any relevant circumstances, or when you are ready to implement the recommendations.

The Scope of Our Advice

The scope of our advice covers the following areas requested by you:

- Retirement planning, including strategies to cease working in the next 4-5 years.
- Superannuation strategies to maximise your savings and tax-effectiveness leading into retirement.
- Debt reduction strategies, with a focus on clearing your investment property loan.
- Investment strategies concerning your existing investment properties.
- Tax minimisation strategies for your employment and investment income.
- Estate planning considerations to protect your assets and provide for your children.

Your Goals and Objectives

From our discussions, we understand your primary goals are to:

- Retire in the next four to five years, around the time Meni turns 60 and John turns 61.
- Be in a financial position where you are not pressured to continue working in your current high-stress roles.
- Pay off all outstanding debt, with the investment property loan being the priority.
- Enjoy your retirement, which includes travelling to Europe.

- Minimise your overall tax burden, particularly on your investment property income.
- Ensure your wealth is passed to your children in a protected and tax-effective manner.

Your Current Financial Situation

The following is a summary of your financial position based on the information you have provided.

Assets & Liabilities

Assets	Value	Debts	Balance
Residential Home (Childs Rd)	$800,000	Home Loan	$0
Investment Property (Bundoora)	$850,000	Investment Loan	($330,000)
Investment Property (Reservoir)	$650,000		
Cash	$70,000		
Motor Vehicles	$145,000		
Home Contents	$204,000		
Superannuation (John)	$488,000		
Superannuation (Meni)	$403,000		
Total Assets	$3,610,000	Total Debts	($330,000)
Net Wealth			$3,280,000

Estimated Annual Surplus Cashflow

Income & Expenditure Summary	
John's Gross Salary	$155,000
Meni's Gross Salary	$115,000
Gross Rental Income	$50,000
Total Gross Household Income	**$320,000**
Less: Estimated Tax & Medicare Levy	($80,343)
Net Annual Income	**$239,657**

Income & Expenditure Summary	
Less: General Household Expenses	($91,080)
Less: Investment Loan Repayments	($33,150)
Estimated Annual Surplus	$115,427

Our Strategic Recommendations

To help you achieve your goals, we recommend the following strategies.

1. Maximise Concessional Superannuation Contributions

To reduce your current tax liability and accelerate your retirement savings, we recommend you utilise your available surplus to make personal deductible contributions to superannuation up to the concessional cap of $30,000 each.

- **Recommendation:**
    - John to contribute **$11,400** per year.
    - Meni to contribute **$16,200** per year.
- **Wealth Growth & Tax Outcomes:** This strategy redirects **$27,600** of your pre-tax surplus into the tax-effective superannuation environment. This generates an immediate tax saving of approximately **$9,078 per year** by reducing your taxable incomes. As the table below shows, this small sacrifice in take-home pay now results in your retirement nest egg being projected to be over **$164,000 larger** in just five years, due to the combined effect of higher contributions and compounding growth.
- **Things You Should Know:** As your superannuation balances were below $500,000 on 30 June of the previous financial year **(please confirm this directly with your superannuation provider)**, you are eligible to use the 'carry-forward' rules. This allows you to contribute more than the annual cap by using any unused cap amounts from the past five years. This is a powerful, time-sensitive opportunity to further reduce tax and boost your super before retirement.

The table below provides a 5-year projection of your combined superannuation balance, illustrating the significant impact of making these additional contributions.

Year	Projected Balance (Without extra contributions)	Projected Balance (With recommended contributions)	Additional Benefit
Current	$891,000	$891,000	$0
Year 1	$978,684	$1,008,060	$29,376
Year 2	$1,071,003	$1,130,544	$59,541
Year 3	$1,168,263	$1,260,376	$92,113
Year 4	$1,270,799	$1,398,000	$127,201

Year	Projected Balance (Without extra contributions)	Projected Balance (With recommended contributions)	Additional Benefit
Year 5 (Retirement)	$1,378,967	$1,543,880	$164,913

**Projections assume an average annual investment return of 6% and do not account for fees or taxes within super. They are for illustrative purposes only.*

2. Accelerate Debt Repayment

To achieve your primary goal of being debt-free, we recommend you allocate the remainder of your surplus cashflow towards making additional repayments on their investment property loan.

- **Recommendation:** Allocate **$87,827** per year from your surplus as additional repayments to the loan.
- **Wealth Growth & Tax Outcomes:** By implementing this accelerated repayment strategy, you are projected to pay off the loan in under four years instead of the original 25-30 year term. This not only achieves your goal of becoming debt-free quickly but could also save you over **$450,000** in interest payments over the original lifetime of the loan. This represents a significant and guaranteed return on your surplus cash.
- **Things You Should Know:** Once the loan is paid off, the freed-up cashflow of over $2,700 per month can be redirected towards other goals, such as increasing your lifestyle spending or making further investments.

This table shows how quickly the loan can be repaid with the recommended additional repayments compared to making only the minimum required payments.

Year	Loan Balance (Minimum Repayments)	Loan Balance (Accelerated Repayments)
Current	$330,000	$330,000
Year 1	$315,957	$228,130
Year 2	$301,053	$118,591
Year 3	$285,225	$4,492
Year 4	$268,406	**PAID OFF**

**Projections assume a constant interest rate of 5.79% p.a. and are for illustrative purposes only.*

3. Plan for Strategic Asset Sale in Retirement (Forward-Looking Projection)

To create a large capital base to fund a long and comfortable retirement, we recommend you plan to sell one of your investment properties *after* you have ceased working.

- **Recommendation:** Retain your investment properties for now while you focus on debt reduction. Plan to sell one of the properties (e.g., the Reservoir property) upon retiring in approximately 5 years.
- **Wealth Growth & Tax Outcomes:** Selling in retirement allows the capital gain to be taxed at much lower rates. The projection below uses forward-looking tax rates for the 2027-28

period as a model. By selling when you have no other income, the total estimated tax on a $500,000 capital gain is only **$59,904**, compared to an estimated **$107,735** if you sold while working (under current tax law). This strategy preserves over **$47,000** of your capital. The final net proceeds of approximately **$590,000** can then be invested into a tax-free pension account to generate a substantial retirement income.

The table below illustrates the potential tax outcome if the Reservoir property is sold in 5 years, using projected tax rates for 2027-28 as a guide.

Projected Capital Gains Tax on Property Sale in 5 Years	
Estimated Sale Price	$650,000
Estimated Cost Base	($150,000)
Gross Capital Gain	**$500,000**
50% CGT Discount	($250,000)
Total Taxable Gain	**$250,000**
Taxable Gain (per person)	$125,000
Estimated Tax Payable (per person)	$27,752
Estimated Medicare Levy (per person)	$2,500
Total Estimated Tax on Sale	$59,904
Net Proceeds from Sale	$590,096

Disclaimer: *This projection is for illustrative purposes only. The tax rates used for 2027-28 are based on forward-looking estimates and are not yet legislated for the year of sale. These rates are subject to change by future governments.*

Impact of Recent Federal Budget Changes

As part of the recent Federal Budget, the Government announced proposed changes to the taxation of capital gains for certain assets. While the final legislation and implementation details remain subject to parliamentary approval, the proposed changes are intended to modify the way capital gains are calculated on assets acquired after the commencement date of the new rules.

Importantly, based on the information currently available, capital gains that accrue prior to the commencement of the new regime are expected to be grandfathered. This means that any growth in the value of assets up to the transition date should continue to be assessed under the existing capital gains tax (CGT) rules, including eligibility for the 50% CGT discount where applicable. As a result, the strategy outlined within this report remains appropriate and largely unaffected by the proposed changes.

For your circumstances, the recommendation to retain the investment properties in the short term and consider selling a property after retirement continues to provide significant benefits. The majority of the value that has already accumulated within the properties is expected to remain subject to the current CGT framework, preserving much of the tax advantage associated with selling when your taxable income is lower.

Should the proposed legislation proceed in its current form, only future capital growth occurring after the implementation date may be subject to the revised calculation methodology. Even under these proposed rules, delaying the sale of an investment property until retirement is likely to remain a tax-effective strategy, as capital gains will continue to be assessed at your marginal tax rates and can therefore benefit from your reduced taxable income once employment has ceased.

Given the uncertainty surrounding the final legislation, we recommend reviewing this strategy periodically and particularly prior to any future property sale. This will ensure that any legislative changes, transitional provisions, grandfathering arrangements, or new taxation concessions are appropriately incorporated into your financial plan.

4. Consider Transition to Retirement (TTR) Strategy from age 60

As you approach retirement, we recommend reviewing the suitability of commencing a Transition to Retirement (TTR) Pension once you each reach age 60. While retirement is still several years away, this strategy may provide additional flexibility, improve cashflow, and create further opportunities to boost your superannuation balances in the years immediately preceding full retirement.

Recommendation: Upon reaching age 60, consider converting a portion of your superannuation balances into Transition to Retirement Pension accounts while continuing to work.

Wealth Growth & Tax Outcomes: A TTR strategy may allow you to draw tax-free pension payments from your superannuation while simultaneously continuing to make concessional contributions into super. This can create additional tax efficiencies, improve household cashflow, and accelerate wealth accumulation in the final years before retirement.

5. Enhance Estate Planning with Testamentary Trusts

To ensure your substantial assets are protected and passed to your children in the most effective way, we recommend you engage a solicitor to update your Wills to include Testamentary Trusts.

- **Recommendation:** Seek legal advice to replace your current basic Wills with new Wills that establish Testamentary Trusts upon your death.
- **Benefits:** This is a crucial strategy for asset protection and tax-effectiveness. It protects the inheritance you leave for your children from potential claims from creditors or in the event of a relationship breakdown. Furthermore, it allows income from the trust's assets to be distributed to your children and grandchildren in a highly tax-effective way, as income paid to minors can be taxed at adult marginal rates.
- **Things You Should Know:** A basic Will distributes assets directly to beneficiaries, leaving them exposed. A Testamentary Trust acts as a secure vehicle to manage and protect your family's wealth for future generations.

6. Utilise Carry-Forward Concessional Contributions (Catch-up Strategy)

As a powerful extension to the annual contribution strategy, we recommend you explore making larger, lump-sum concessional contributions by utilising the 'carry-forward' rule.

- **Recommendation:** Consider making additional concessional contributions on top of your annual contributions by using the unused portions of your caps from the last five financial years.
- **Wealth Growth & Tax Outcomes:** This strategy allows you to make a large, tax-deductible contribution in a single year, which can create a significant tax refund. This is particularly effective in a year where you might have higher income, or simply as a way to rapidly boost

your superannuation balance in the final years before retirement. These contributions come from your existing assets (e.g., cash reserves), not just your annual surplus.

- **Things You Should Know:** This opportunity is only available because your total superannuation balances were under $500,000 on 30 June of last year. For John, whose balance is approaching this threshold, this is a time-sensitive opportunity that may not be available in future years. The exact unused cap amounts must be confirmed via the ATO portal before proceeding.

The tables below provide an *estimate* of the unused concessional caps available to you both, based on your contribution history.

John's Estimated Unused Concessional Caps:

Financial Year	Concessional Cap	Estimated Contributions	Estimated Unused Amount
2020-21	$25,000	$18,000	$7,000
2021-22	$27,500	$18,000	$9,500
2022-23	$27,500	$18,000	$9,500
2023-24	$27,500	$18,000	$9,500
2024-25	$30,000	$18,600	$11,400
Total Estimated Available Catch-up Amount			$46,900

Meni's Estimated Unused Concessional Caps:

Financial Year	Concessional Cap	Estimated Contributions	Estimated Unused Amount
2020-21	$25,000	$13,000	$12,000
2021-22	$27,500	$13,000	$14,500
2022-23	$27,500	$13,000	$14,500
2023-24	$27,500	$13,000	$14,500
2024-25	$30,000	$13,800	$16,200
Total Estimated Available Catch-up Amount			$71,700

Estimates are for illustrative purposes and assume consistent employer contributions. Actual unused cap amounts must be verified with the ATO.

Alternative Strategies We Considered

- **Focus Solely on Debt Repayment:** While allocating the full surplus of $115,427 to the loan would clear it faster (in under 3 years), this would mean missing out on substantial tax savings from super contributions and the opportunity for tax-effective investment growth in the critical years leading up to retirement.
- **Retain All Investment Properties for Heirs:** Keeping both properties for your children is a valid option that aligns with your family values. However, this would significantly reduce the capital available to you in retirement. The rental income alone may not be sufficient to fund your desired travel and lifestyle goals, and you would have less flexibility to respond to unforeseen expenses.

Disclosures & Important Information

This advice is based on the information you provided and the current legislative environment. The recommendations in this document are valid for 30 days from the preparation date. Any changes to your circumstances, or to taxation and superannuation laws, may impact this advice. We do not provide legal or specific taxation advice, and we recommend you consult your accountant or solicitor before implementing legal or tax-related strategies.

What is paid to your adviser

You have agreed to a Plan Fee of $2,000 + GST for the preparation of this strategy paper and associated research and advice.

Your Next Steps

- Read this Strategy Paper carefully and contact us with any questions.
- Speak to your payroll department to arrange for salary sacrifice superannuation contributions AND/OR make personal contributions.
- Engage a solicitor to discuss and implement Wills with Testamentary Trusts **(we can assist).**
- Once you are ready to proceed, we will assist you in implementing the financial aspects of the plan.